

of Gillette by asking about Citicorp's overall portfolio. Ms. Molter said it currently involved about \$39 billion, or roughly the gross national product of Greece.

Ms. Molter was an intriguing combination of youthful assurance, argumentativeness, and indifference. I tried to ingratiate myself by telling her what Ms. Temple, Mr. Raj, and others had been saying. She couldn't have cared less. Not only that, she already knew what they'd been saying. Buy-side analysts are allowed to talk directly to the sell side. In fact, they're *supposed* to talk to the sell side. As Ms. Molter explained it, it's her job to weigh the relative sell-side opinions, to take note of any surprising news and who delivered it, and to rate the enthusiasm and general cooperativeness of the various analysts.

When I confessed that the actual purpose of the buy-side had eluded me thus far, Ms. Molter remarked, "The sell-side sees only the trees, but it's up to the buy-side to see the forest." More specifically, she said she listens to all the gossip, the earnings estimates, and the news not only from the cosmetics group, but from automobile analysts, media analysts, dozens of analysts who follow hundreds of stocks. Then she makes recommendations to the Citicorp portfolio managers as to which stocks they should actually buy.

Here was the final clue to the whole analyst mystery, and especially to why Ms. Hall, Ms. Longley, and the rest worried so much about pleasing their big clients. Ms. Molter was one of those clients, and she gave them all grades just like in high school. It was this grading system that kept the sell-side analysts in constant dread. Not only did they worry what grade they'd get from the likes of Ms. Molter, but also about the grades they'd receive from *Institutional Investor* magazine. I'd already noticed that several analysts had copies of this influential publication on their desks, especially if they'd made the highest ratings.

Ms. Molter called the grades "votes." In her firm, she's given 50 votes to divide among all the sell-side analysts. She said she rarely gives out more than 5 votes to any one person, but might give 4 "if they're always around when I need them," or 3 "if they call regularly plus do something unusual every once in a while,"